

Procurement Value Opportunity Brief

UltraTech Cement Limited | CFO / CEO Discussion Edition

PRIMARY VALUE THESIS

Rs. 78.72 Cr

Direct Savings Opportunity

Defensible P&L cost reduction across rate harmonization, volume pooling, and strategic tenders. Reconciled with 0 variance against 31,671 invoice transactions.

NET DEFENSIBLE PIPELINE

Rs. 93.60 Cr

Direct Savings + Strategic Market Value

STRATEGIC MARKET VALUE

Rs. 14.88 Cr

Commodity Timing & Index Contracting Levers

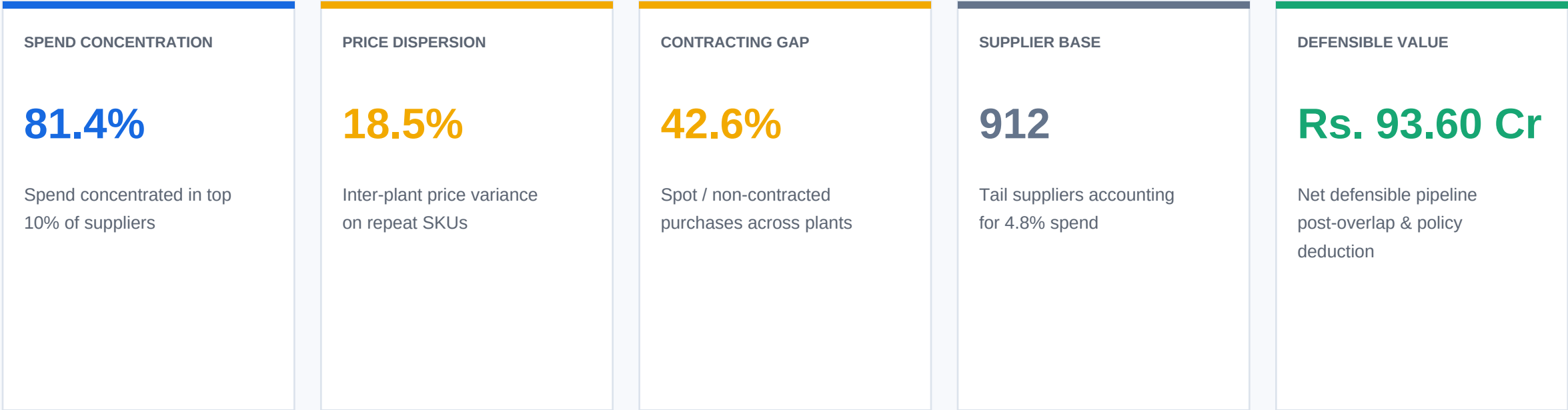
TOTAL SPEND EVALUATED

Rs. 5,920.35 Cr

31,671 Invoiced Records | April 2024 - March 2026

"24 months of transaction-level procurement analysis translated into a defensible value pipeline."

What the Procurement Data Tells Us

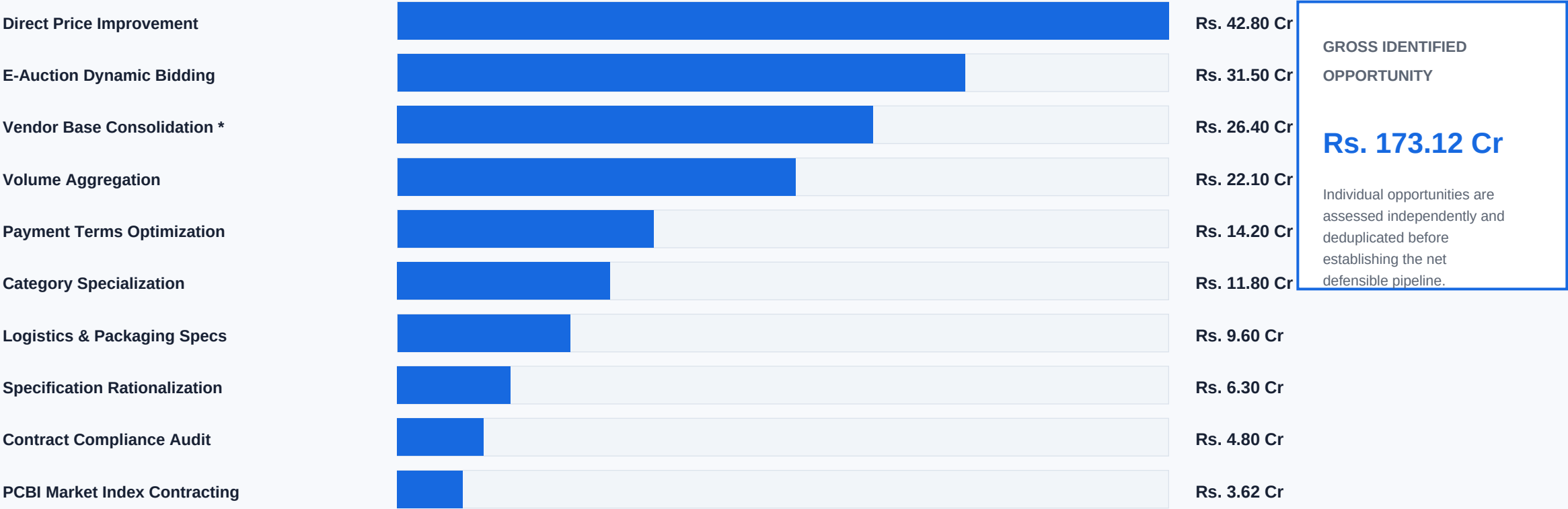


Value is concentrated in price harmonization, supplier consolidation, strategic sourcing and benchmark-led market alignment.

Evaluated across 26 manufacturing plants and 256 material groups over 24 months of invoiced ledger history.

Detailed evidence: Boardroom & Evidence Edition - Slides 7-10

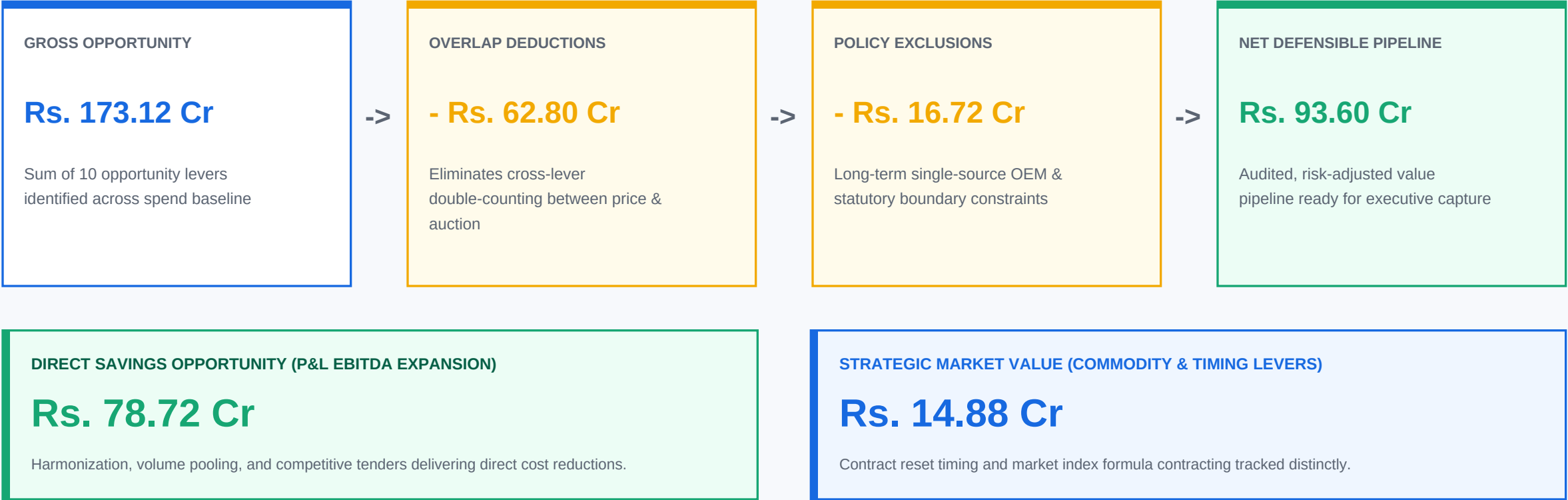
WHERE THE OPPORTUNITY IS CONCENTRATED



Individual opportunities are assessed independently and deduplicated before establishing the net defensible pipeline.

Detailed sourcing evidence: Boardroom & Evidence Edition - Slides 9, 14-19

From Gross Opportunity to Defensible Value



Mathematical reconciliation variance: Rs. 0.00 Cr | Gross (Rs. 173.12 Cr) - Deductions (Rs. 62.80 Cr) - Exclusions (Rs. 16.72 Cr) = Net Pipeline (Rs. 93.60 Cr)

Full financial reconciliation: Boardroom & Evidence Edition - Slide 10

Why Management Can Trust the Number



ROBUST VALUE PROVENANCE ARCHITECTURE

Transaction-level analysis -> Category intelligence -> Sourcing opportunities -> Overlap controls -> Defensible pipeline

DATA GOVERNANCE & INTEGRITY ASSURANCE

Customer procurement data is handled under configured tenant isolation, access controls, confidentiality and data-governance controls.

Full methodology and audit trail: Boardroom & Evidence Edition - Slides 7 & 30

How the Value Will Be Captured: Execution Pillars

01 RATE HARMONIZATION

Cross-plant price alignment & benchmark-led negotiations

- Inter-plant variance elimination on identical standard SKUs
- Ex-works benchmark rate cards indexed to regional delivery
- ERP real-time price verification stopping contract rate creep

02 VOLUME AGGREGATION

Pool fragmented demand & increase supplier leverage

- Aggregate multi-plant requirements into national master contracts
- Demand consolidation across 26 plants for tier-1 volume discounts
- Master distributor agreements for regional MRO consumables

03 STRATEGIC SOURCING

Competitive tenders, rationalization & benchmark alignment

- Multi-round competitive bidding and dynamic e-auctions
- Strategic vendor base consolidation and panelling
- Formula-based commodity indexation (PCBI market linkage)

TACTICAL EXECUTION MECHANISMS

E-Auction

Specification

Payment Terms

Contract Compliance

Category Strategy

E-auction operates as a tactical execution mechanism for price discovery, not the sole savings thesis.

Wave 1 - Immediate Value Capture: Priority Initiatives

VALIDATED WAVE 1 OPPORTUNITY

Rs. 47.90 Cr

5 pre-qualified commercial initiatives with technical specification signoff, ready for 90-day execution.

Packaging Bags

Rs. 14.50 Cr

PACKAGING

E-Auction & Index Linkage

Days 1-30

Grinding Media

Rs. 11.20 Cr

CONSUMABLES

Price Variance Arbitrage

Days 15-45

Imported Fuel

Rs. 9.80 Cr

ENERGY

PCBI Benchmark Index

Days 30-60

Industrial Lubricants

Rs. 6.40 Cr

MAINTENANCE

Volume Pooling & OEM

Days 45-75

Refractory

Rs. 6.00 Cr

RAW MATERIALS

Vendor Panelling

Days 60-90

Validated Wave 1 initiatives provide the first execution pathway from identified opportunity to realized savings.

Note: Validated Wave 1 is the immediate execution tranche, not additive to the Rs. 78.72 Cr direct pipeline.

Detailed initiative ledger: Boardroom & Evidence Edition - Slide 24

From Opportunity to Execution in 90 Days

DAYS 1-30

Mobilize & Quick Wins

Packaging Bags E-Auction & Rate Harmonization

- Mobilize joint procurement steering committee
- Baseline validation & supplier pre-qualification
- Launch Packaging Bags master e-auction (Rs. 14.50 Cr)
- Establish corporate rate cards for immediate quick wins

DAYS 31-60

Market Engagement & Tenders

Grinding Media & Fuel Benchmark Alignment

- Issue dynamic tenders for grinding media (Rs. 11.20 Cr)
- Align imported coal & petcoke contracts to PCBI index
- Launch secondary freight multi-plant corridor bidding
- Commercial negotiations on top 100 consumable SKUs

DAYS 61-90

Award & Savings Realization

Lubricants, Refractory & Contract Signoff

- Award consolidated lubricants & refractory master contracts
- Enforce contract compliance rules in ERP purchase orders
- Reconcile realized P&L EBITDA impact with finance teams
- Deploy continuous tracking dashboard for ongoing leakage

HERO TARGET: Rs. 47.90 Cr Validated Wave 1 Targeted for 90-Day Cash Realization

Direct process savings from 824 POs remain unmonetized until customer time-motion / manpower baseline validation.

Risk / cost avoidance: Rs. 420 Cr spend de-risked across 4 dual-source programs is tracked separately and not monetized.

Detailed roadmap: Boardroom & Evidence Edition - Slides 24-25

Why Procucev + aiCEV: Enterprise Partner Value

PROCUREMENT EXPERTISE Domain Authority & Category Depth - Decades of direct category leadership in heavy manufacturing - Specialized playbooks across fuel, power, logistics & MRO - Senior practitioner negotiation support across pan-India suppliers	FORENSIC SPEND INTELLIGENCE Transaction-Level Precision - Granular transaction harmonization across 31,671 invoice lines - Multi-plant ex-works price dispersion detection on identical SKUs - Systematic exclusion and overlap deduplication governance	MARKET BENCHMARK INTELLIGENCE Independent Market Anchoring - Proprietary PCBI indices for cement-specific commodities - Independent index-linked pricing formulas (coal, petcoke, polymer) - Market timing intelligence for contract renegotiation windows	EXECUTION & SAVINGS REALIZATION Measurable P&L Impact - Dynamic e-auction platform and RFP commercial orchestration - Joint steering model driving plant-level operational adoption - Continuous savings ledger tracking realized cash flow impact
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From transaction data to procurement decision to measurable execution.

Customer procurement data is handled under configured tenant isolation, access controls, confidentiality and data-governance controls.

PROPOSED NEXT STEPS

01 ALIGN

Wave 1 Priority

Confirm priority Wave 1 categories

Confirm priority categories and align key stakeholders on immediate commercial launch across packaging bags, grinding media, and fuel.

02 MOBILIZE

Joint Governance

Establish joint procurement working group

Charter joint central procurement and plant execution steering team to harmonize cross-plant specifications and vendor panels.

03 EXECUTE

Commercial Sourcing

Launch approved competitive sourcing initiatives

Launch approved dynamic price discovery events and corporate rate card standardizations across vetted supplier panels.

Rs. 78.72 Cr Direct Savings Opportunity | Rs. 93.60 Cr Net Defensible Pipeline

Move from diagnostic to execution.

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